UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**

Paper 1 Multiple Choice **May/June 2009**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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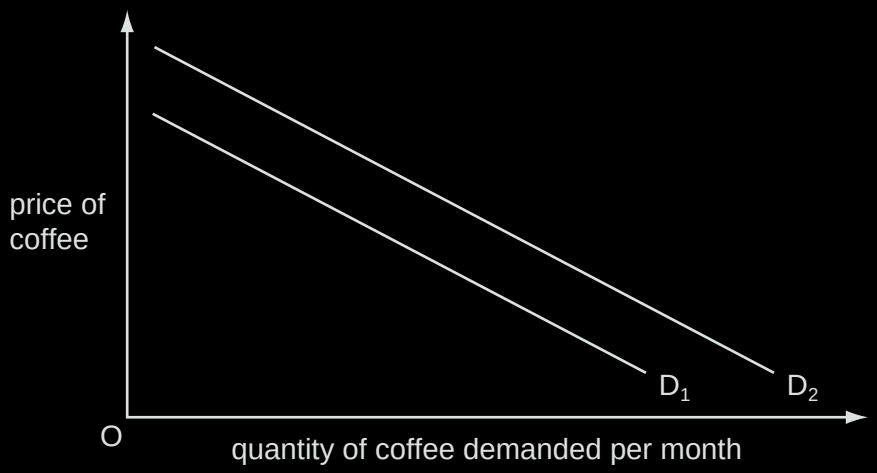
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



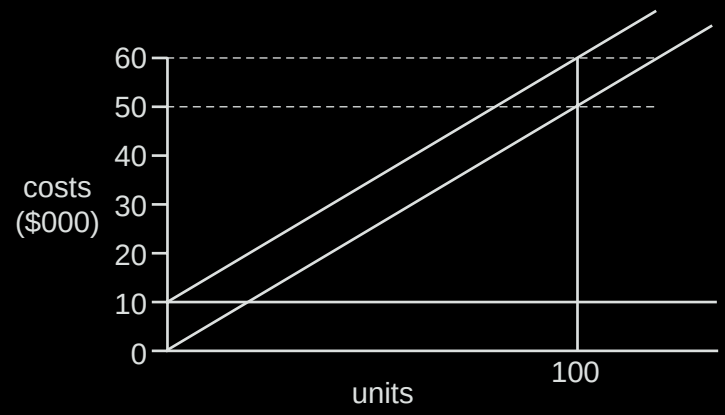
What might cause the demand for coffee to change from D_1 to D_2?

A a good coffee harvest

B a rise in the price of alternative drinks

C a rise in the wages of coffee workers

D a successful advertising campaign for tea



What is the firm's variable cost at an output of 100 units?

A $500 **B** $10 000 **C** $50 000 **D** $60 000

22 In a popular tourist city there are three large hotels but many smaller guest houses.

The company which owns one of the large hotels decides to add more rooms to its hotel and also purchase one of the other large hotels.

What will happen as a result?

A The company will be able to control the price of tourist accommodation in the city.

B The market for hotel accommodation will become less competitive.

C The smaller guest houses will be forced out of business.

D There will be a monopoly supply of tourist accommodation in the city.

23 What is likely to increase with economic growth?

A cyclical unemployment

B income per head

C the budget deficit

D the conservation of natural resources

24 A government decreased the tax on all goods imported into the country.

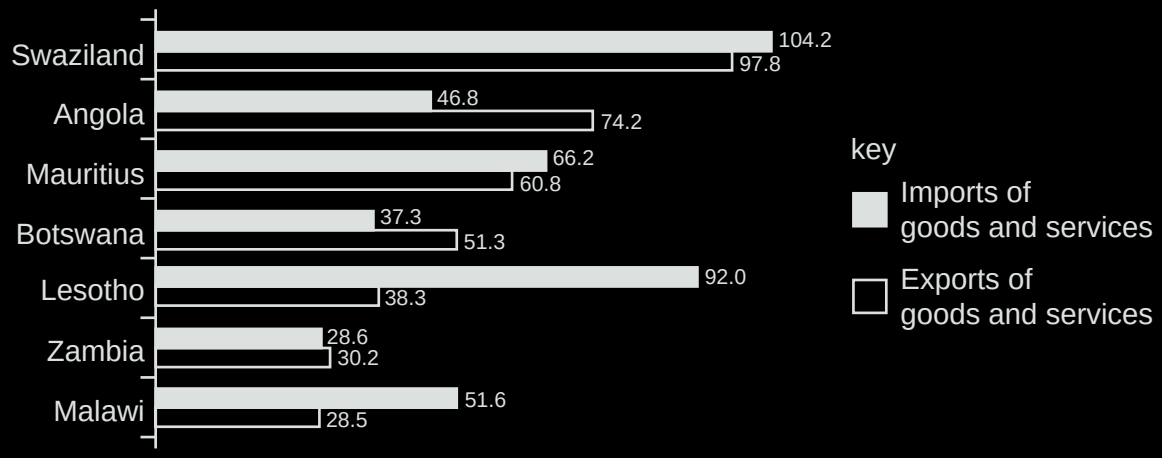
What is the most likely result of this?

A a decrease in domestic production

B an increase in economic growth

C an increase in exports

D an improvement in the balance of trade in goods



What can be concluded from the graph?

A Botswana has a deficit on its balance of payments current account.

B Swaziland is the country most heavily dependent on imports.

C The value of imports for Lesotho is greater than the value of imports for Malawi.

D The volume of imports for Zambia is less than its volume of exports.

40 When does free trade occur?

A when goods are exported with government subsidies

B when goods are given as part of an aid programme

C when goods are traded using barter

D when goods face no import barriers